

...there are advantages to be gained through the selection of one or more professional and independent directors. These should be men of wide business experience who can turn a fresh and expert eye on the problems of the enterprise.... They should submit a separate annual report, addressed directly to the stockholders and containing their views on the major question which concerns the owners of the enterprise: "Is the business showing the results for the outside stockholder which could be expected of it under proper management? If not, why—and what should be done about it?"⁷

One can only imagine the consternation that Graham's proposal would cause among the corporate cronies and golfing buddies who constitute so many of today's "independent" directors. (Let's not suggest that it might send a shudder of fear down their spines, since most independent directors do not appear to have a backbone.)

Whose Money Is It, Anyway?

Now let's look at Graham's second criterion—whether management acts in the best interests of outside investors. Managers have always told shareholders that they—the managers—know best what to do with the company's cash. Graham saw right through this managerial malarkey:

A company's management may run the business well and yet not give the outside stockholders the right results for them, because its efficiency is confined to operations and does not extend to the best use of the capital. The objective of efficient *operation* is to produce at low cost and to find the most profitable articles to sell. Efficient *finance* requires that the stockholders' money be working in forms most suitable to their interest. This is a question in which management, as such, has little interest. Actually, it almost always wants as much capital from the owners as it can possibly get, in order to minimize its own financial problems. Thus the typical management will operate with more capital than necessary, if the stockholders permit it—which they often do.⁸